by tenure (projected households multiplied by current rates of renters and owners). Data is from the 2024 5-year ACS and DOF 2026 E-5 Population Estimates. Note**:** 2024 1-year ACS summary tables (B25004 and B25003) were not available for all the counties in the SCAG region, thus the 2025 5-year ACS summary tables were used.

10. Overcrowding Adjustment: Pursuant to Government Code section 65584.01, subdivision (b)(1)(C), HCD uses ACS data to consider the percentage of households that are overcrowded in the region compared to the United States national average of households that are overcrowded. In regions where the overcrowding rate is greater than the U.S. national average overcrowding rate (3.54%), HCD applies an adjustment based on the amount the region's overcrowding rate exceeds the U.S. overcrowding rate. For SCAG, the region's overcrowding rate (9.66%) is higher than the national average (3.54%), resulting in a 6.12% adjustment. HCD then applies the 6.12% adjustment to total occupied households in the region (6,514,134). Per SCAG's request, data is from the 2024 1-year ACS (B25014) and DOF 2026 E-5 Population Estimates. HCD received satisfactory evidence that the 2024 1-Year ACS data is not anomalous and has a relatively low margin of error given SCAG's large size. As a result, HCD utilized the applicable 2024 1-Year ACS summary tables throughout the RHND calculations where feasible.

11. Cost Burden Adjustment: Pursuant to Government Code section 65584.01, subdivision (b)(1)(H), HCD uses ACS data to consider the percentage of households that are cost burdened in the region compared to the United States national average of households that are cost burdened. In regions where the cost burden rate is greater than the U.S. national average rate (31.45%), HCD applies an adjustment based on the amount the region's cost burden rate exceeds the U.S. rate. For SCAG, the region's cost burden rate (43.19%) is higher than the national average (31.45%), resulting in an 11.74% adjustment. HCD then applies the 11.74% adjustment to total occupied households in the region (6,514,134). Data is from the 2024 1-year ACS (B25140) and DOF 2026 E-5 Population Estimates.

12. Overcrowding and Cost Burden Adjustment: To minimize double counting the housing needs of households that are both overcrowded and cost burdened, HCD has implemented an additional overcrowding and cost burden adjustment. For regions with an adjustment for both overcrowding and cost burden, a downward adjustment is applied based on the number of households that are estimated to be both overcrowded and cost burdened according to an analysis of 2024 1-year ACS Public Use Microdata Sample File data (PUMS) provided by DOF. If the DOF data for this adjustment exceeds the individual adjustments for overcrowding or cost burden, then this adjustment is limited to the lesser of the two. This double counting consideration resulted in a 259,849-unit reduction.

13. Replacement Adjustment (Demolitions): HCD applies a replacement adjustment between 0.10% to 5% to the total housing stock based on the current 10-year average percent of demolitions (January 1, 2017, to January 1, 2026) in the region's local government annual reports to DOF. Units lost during a state of emergency declaration are not included. For SCAG, the 10-year average was 0.022%, so the minimum adjustment of 0.10% is applied to the projected occupied households. The data for demolitions is from DOF-DRU's 2026 custom tabulations of Annual Housing Unit Survey Results and DOF 2026 E-5 Population Estimates.